



KCB INVESTOR PRESENTATION 2012 HALF YEAR RESULTS



KCB | Making the
Difference

BUSINESS OVERVIEW

Kenya- Macroeconomic Environment

1. Decline in inflation rates
2. Stable FX Rates
3. Increase in interest rates in first half 2012
4. Slowed GDP growth in 2012

Region-Macroeconomic Environment

Inflation

Increasing inflation rates

GDP

Decline in Rwanda

Growth in Uganda and Tanzania

FX Rates

Stable across the region

Interest rates

Increased in 1H2 across the region

The Group Regional Footprint: *The Bank has made tremendous progress with its regional expansion program.*



- Asset Base
349 Billion
- Capital Base
47 Billion
- No. of Branches 226
- Over 930 ATM's
- No. of Customers
2 Million
- No. of Agents 3,243

 **SUDAN- 2006**
19 Branches
22 ATMs
322 Staff

 **UGANDA- 2007**
14 Branches
16 ATMs
303 Staff

 **BURUNDI- 2012**
1 Branch opened
2 ATMs
27 Staff

 **KENYA- 1896**
170 Branches
864 ATMs
3,724 Staff

 **RWANDA- 2008**
11 Branches
14 ATMs
325 Staff

 **TANZANIA- 1997**
11 Branches
12 ATMs
252 Staff



Key Developments on Products and Sponsorship

Roll out of KCB Mobile Banking Platform (KCB Mobi)

- Not limited to Any Network

Roll Out of Diaspora Banking

- First Launch in the banking sector in East Africa, Internet and Mobile Phone Enabled, Contact Centre availability 24/7

Kenya House Sponsorship

- KES 35 million sponsorship in partnership with Brand Kenya and the Government of Kenya

Reduction of Base Lending Rates

KCB S&L MORTGAGES
RATES ARE

NOW FROM
17.5%
EFFECTIVE 1ST JUNE 2012

DOWN



KCB RATES ARE
DOWN

EFFECTIVE FROM 1ST JUNE 2012

KENYA SHILLING
BASE RATES
DOWN TO
22%

S&L MORTGAGES
RATES DOWN TO
19%



KCB BRANDS

(KCB has launched a new state of the Art Mobile Banking Platform)

Our Products



Our Channels



Our Sponsorships



Our Caring Nature

New Brands

Our Partnership



KCB | DIASPORA BANKING

KCB MOBI BANK

JOIN KCB MOBI BANK TODAY

Visit the customer service desk at your branch



SEND MONEY DIRECTLY FROM YOUR KCB ACCOUNT TO ANY NUMBER ANY NETWORK

BANKING AS MOBILE AS YOU



1st Half 2012 KCB Share Performance Vs. NSE 20



In 1H12 the Bank's stock total return was 48% against NSE 20's total return of 19% thus outperforming the NSE 20 by 29%

Bank's Stock was among the most liquid stocks with a turnover of KES 5.5 Billion ranking it 3rd on the FTSE NSE Kenya 25 Index



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Awards



The recent awards that the bank has received include:

- Best trade finance Bank in Kenya 2011 (The Asian Banker International excellence Awards 2011)
- Best Retail Bank in Kenya 2011 (Global Finance Magazine 2011)
- Several Think Business Awards as Follows:
 - Best Bank Corporate Banking
 - Best Corporate Banker
 - Best Bank in Retail Banking
 - Best Bank in SME Banking
 - Best Bank in Product Marketing
 - Chief Executive of the Year
 - 1st Runners-Up in Micro Banking
 - 1st Runners Up in Mortgage Financing
 - 2nd Runners Up in Asset Finance
- 2011 EURO STP Excellence Award

2012 HALF YEAR KCB GROUP FINANCIAL RESULTS



Group Income Statement (KShs. M)

	AUDITED Dec 2011	Un-Audited Jun 2011	Un-Audited Jun 2012	% Change
Net interest income	23,286	10,533	14,310	36%
Foreign exchange income	3,608	1,359	1,907	40%
Fees and commissions	9,185	4,238	4,632	9%
Other income	881	274	319	16%
Total operating income	36,960	16,404	21,168	29%
Total operating expenses	(22,283)	(10,294)	(11,949)	(16%)
Profit before provisions & tax	14,677	6,110	9,219	51%
Provisions for bad debts	(1,897)	(840)	(1,447)	(72%)
Bad debts recovered	2,349	469	732	56%
Profit before tax	15,129	5,739	8,504	48%
Tax	(4,148)	(1,681)	(2,418)	(44%)
Profit after tax	10,981	4,058	6,086	50%
Earnings per share	3.72	1.38	2.05	



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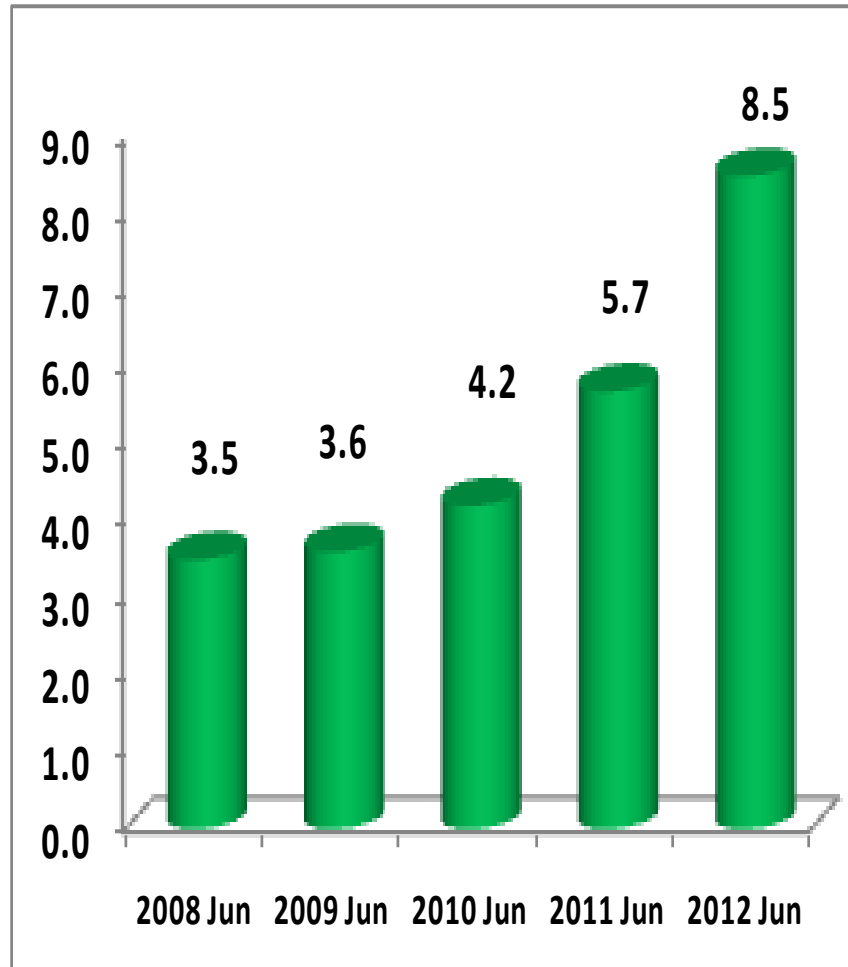
Financial Highlights June 2012 Vs. June 2011

- ➔ Profit Before Tax: KShs. 8.5B, up 48% (June 2011: KShs. 5.7B)
- ➔ Strong performance in Kenya business: Pre-tax profit, KShs. 7.9B up 46% (June 2011: KShs. 5.4B)
- ➔ Excellent results by International Business: Pre-tax profit, KShs. 0.6B up 100% (June 2011: KShs. 0.3B)
- ➔ Net interest income up 36% to KShs. 14.3B (June 2011: KShs. 10.5B)
- ➔ Fees and commission up 9% to KShs. 4.6B (June 2011: KShs. 4.2B)
- ➔ Total operating expenses increased by 16% to KShs. 11.9B (June 2011: KShs. 10.3B)
- ➔ Group balance sheet rose by 25% to KShs. 349.3B (June 2011: KShs. 279.7B)
- ➔ Net loans and advances up 15% to KShs. 202.1B (June 2011: KShs. 175.2B)
- ➔ Customer deposits up 29% to KShs. 278.5B (June 2011: KShs. 215.7B)
- ➔ Cost to income ratio lower by 640bp to 56.4% (June 2011: 62.8%)
- ➔ Shareholders equity increased by 21% to KShs. 46.4B (June 2011: KShs. 38.4B)

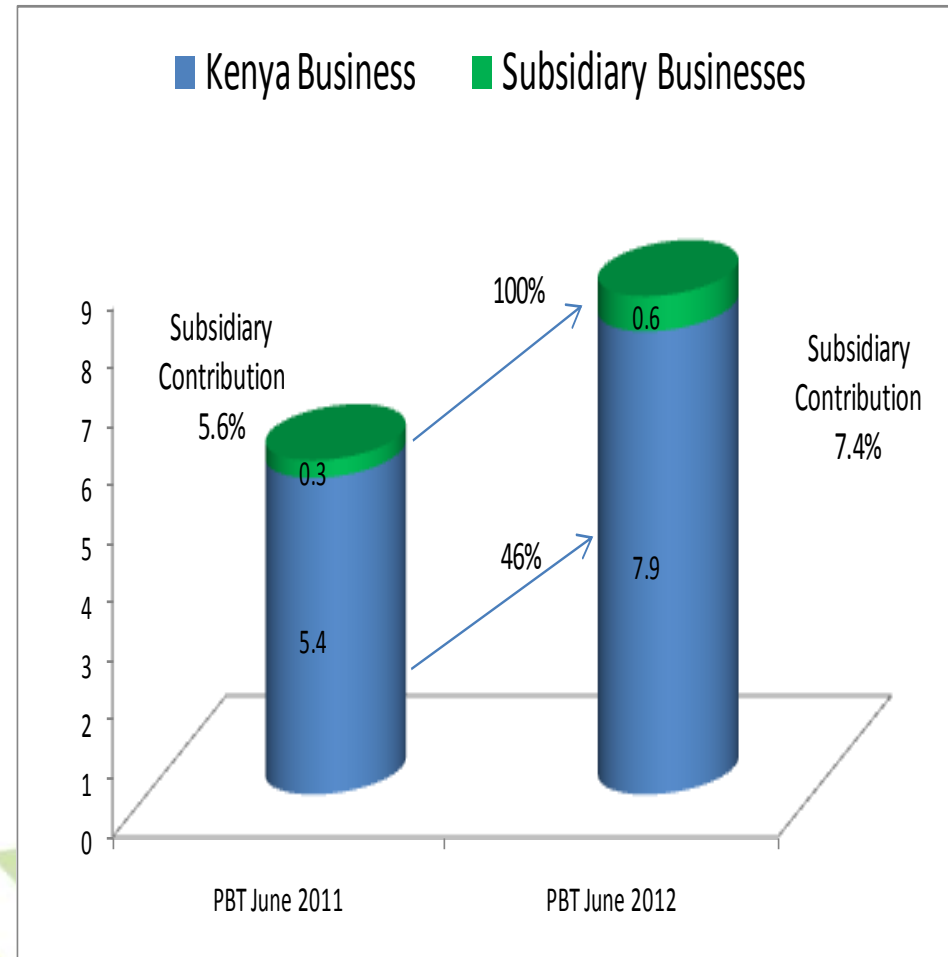


PBT Growth & Contribution

Strong profit growth (KShs. B)



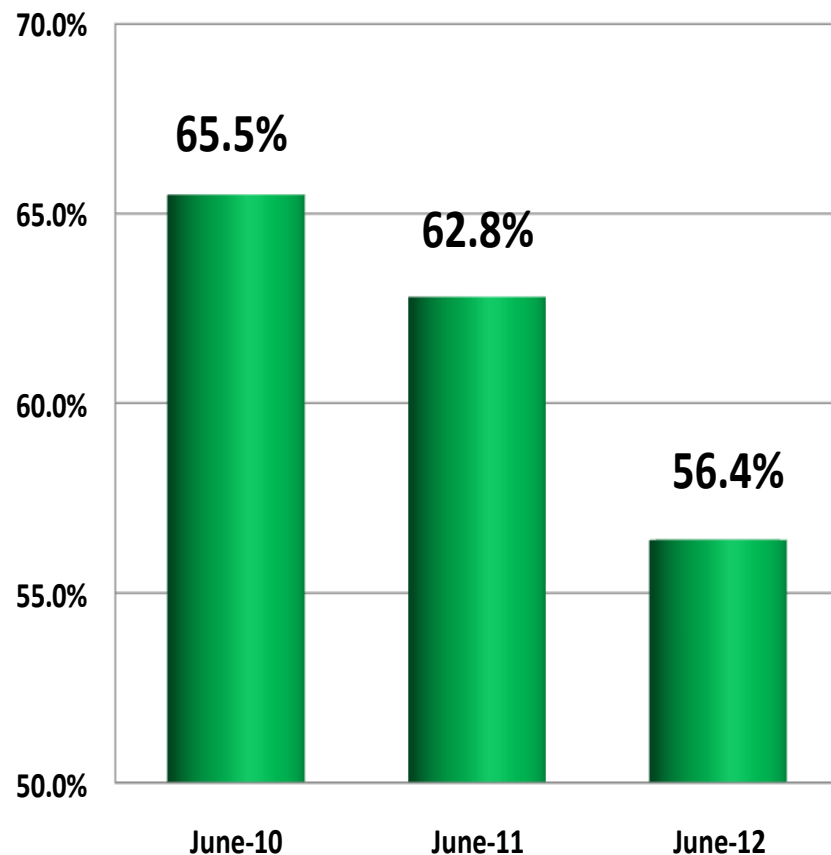
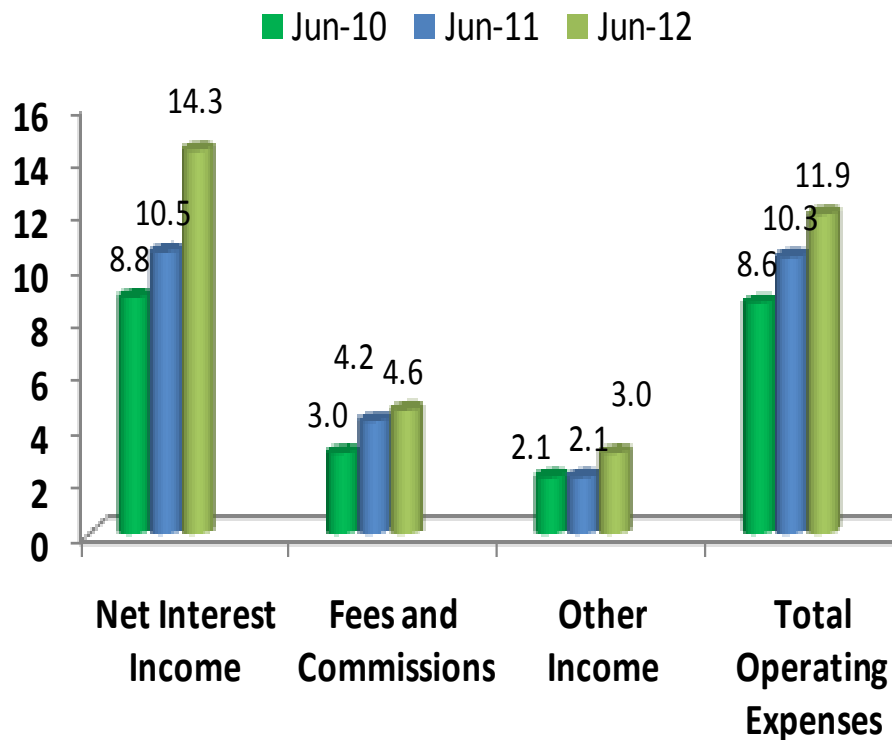
Contribution of PBT (KShs. B)



Distribution of Incomes and Expenses

Incomes and Expenses (KShs. B)

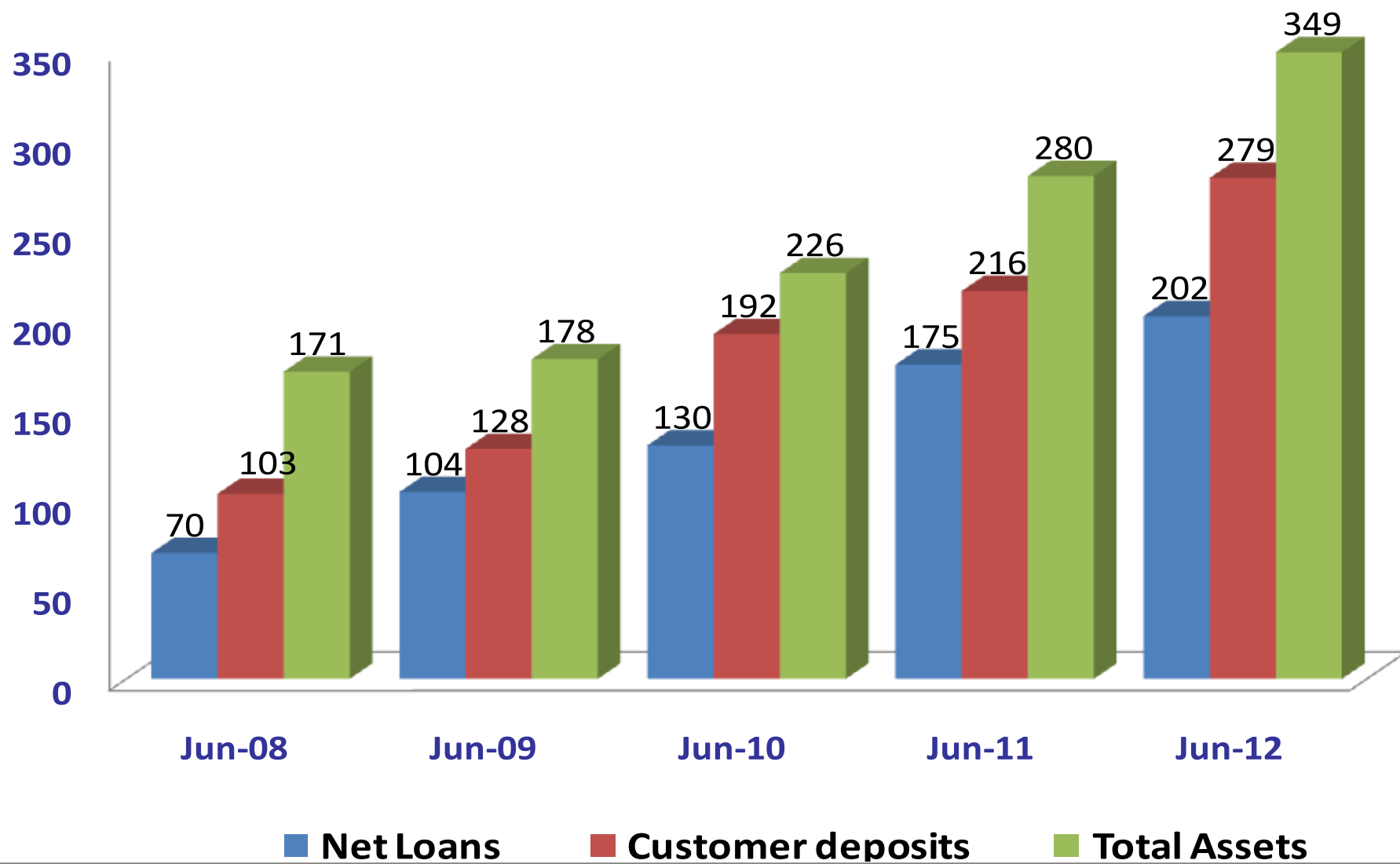
Improved Cost to Income Ratio (%)



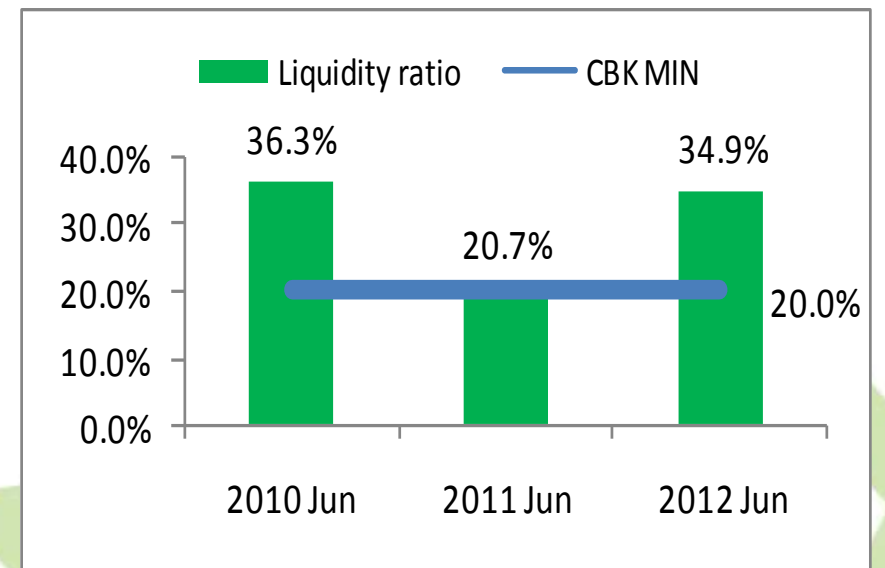
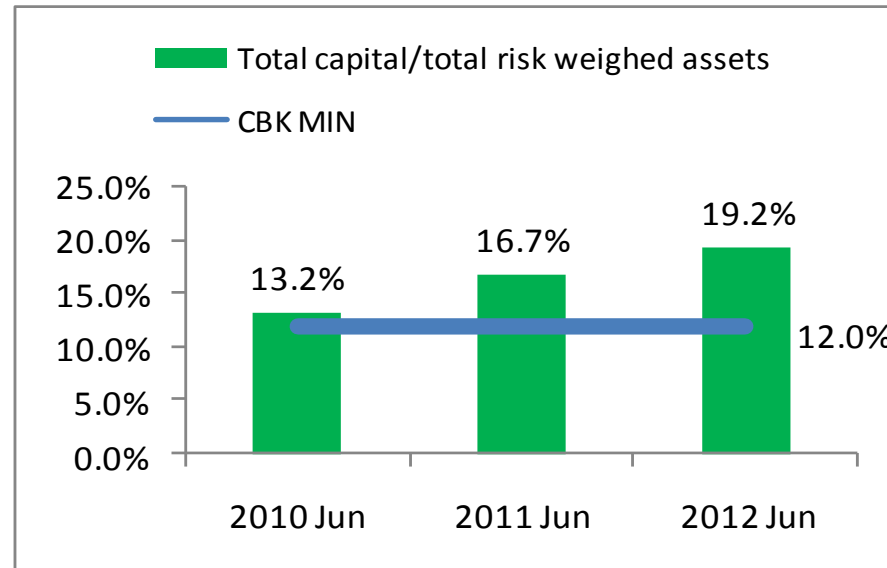
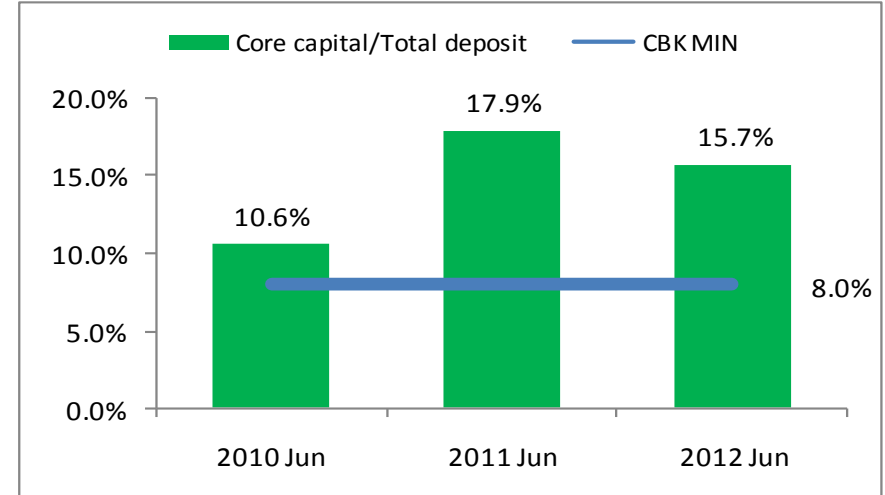
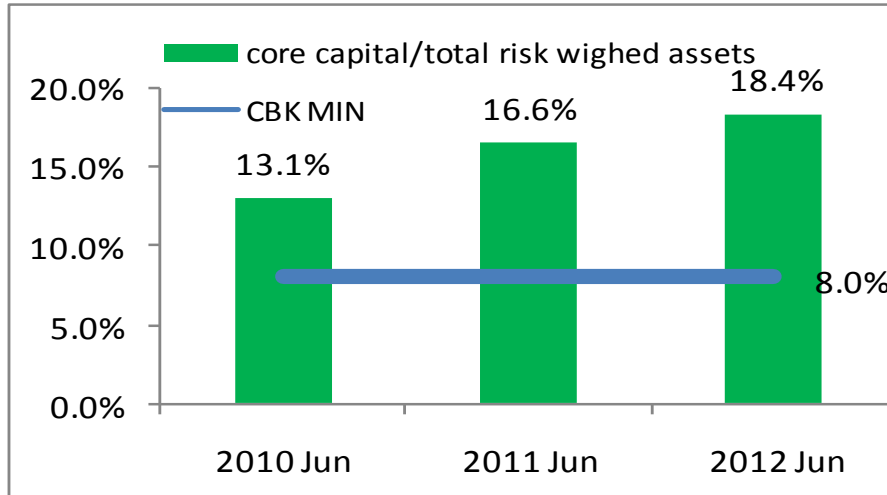
Group Balance Sheet (KShs. M)

	AUDITED Dec 2011	UN-AUDITED JUN 2011	UN-AUDITED JUN 2012	% Change
Assets				
Cash and balances with Central Bank	27,253	17,867	29,161	63%
Balances with other institutions	41,267	21,297	39,583	86%
Investments in Government securities	43,591	45,931	61,003	33%
Investment securities	2,414	2,090	2,391	14%
Net loans and advances	198,725	175,204	202,068	15%
Fixed assets	9,683	10,069	9,704	(4%)
Other assets	7,783	7,258	5,365	(26%)
Total Assets	330,716	279,716	349,275	25%
Liabilities				
Customer deposits	259,309	215,738	278,545	29%
Balances due to other banks	14,105	19,974	11,098	(44%)
Other liabilities	4,412	5,569	4,775	(14%)
Long-term debt	8,525	-	8,430	>100%
Total Liabilities	286,351	241,281	302,848	26%
Share capital	2,969	2,950	2,969	1%
Proposed dividends	5,492	-	-	-
Reserves and premium	35,904	35,485	43,458	22%
Shareholders Equity	44,365	38,435	46,427	21%
Total Liabilities and Equity	330,716	279,716	349,275	25%

Total Assets, Net Loans & Advances And Customer Deposits (KShs. B)



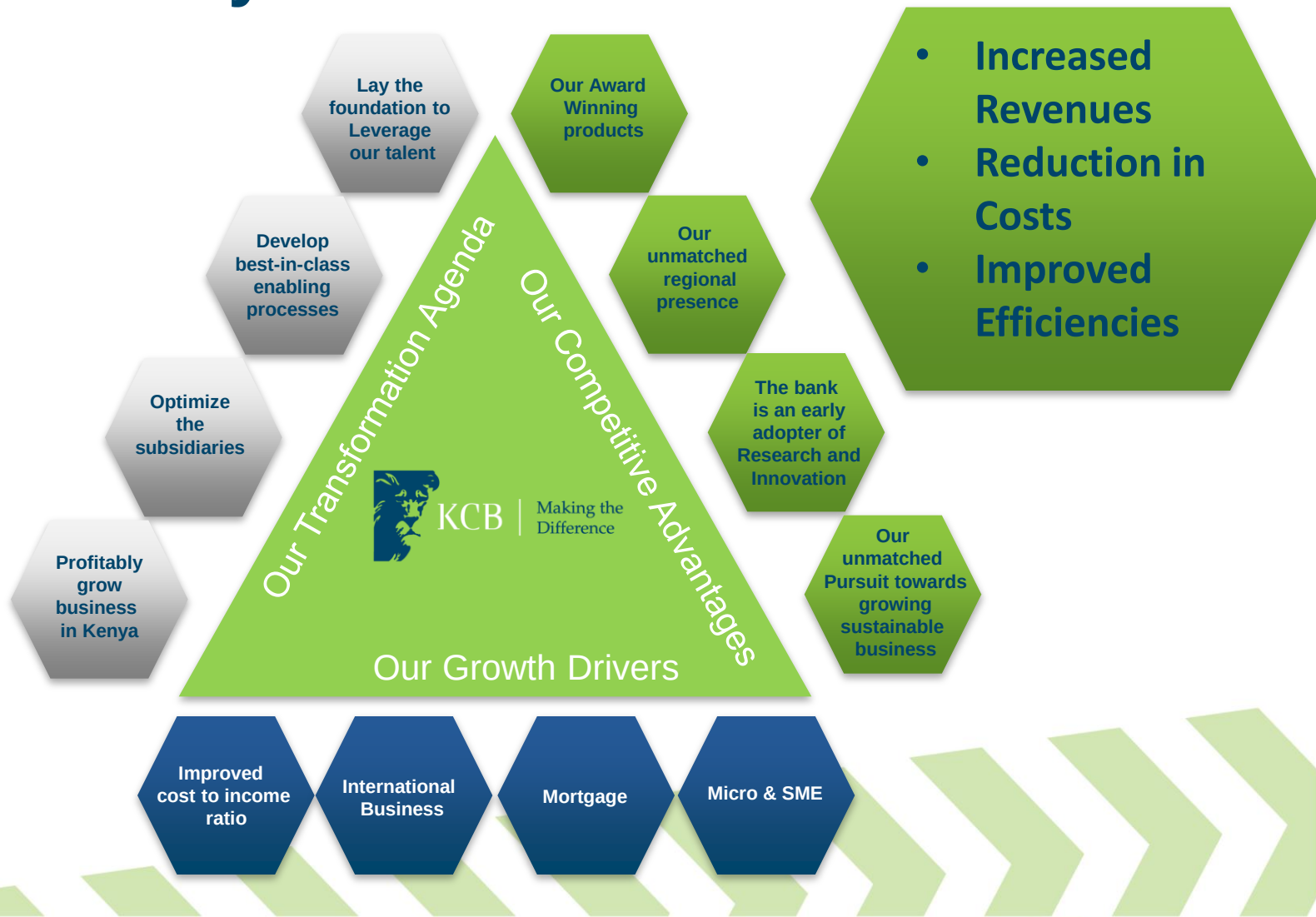
Key Bank Statutory Ratios



FUTURE OUTLOOK

GROUP CEO DR. MARTIN ODUOR-OTIENO

The Group's Road Map to Accelerated Growth and Profitability



2012 OUTLOOK

- **STRONG PERFORMANCE DRIVEN BY INNOVATION AND TRANSFORMATION INITIATIVES**
- **TOP-LINE GROWTH LEVERAGE ON NON FUNDED INCOME**
- **REDUCTION IN THE NPL RATIO ACROSS THE GROUP**
- **STRONG TALENT ACROSS THE GROUP BUSINESS**
- **IMPROVED REGIONAL STAKEHOLDERS RELATIONSHIPS**
- **ENTRY INTO BURUNDI MAY 2012**



Q&A



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